

24NWCV04857 24NWCV04857

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Case Number: 24NWCV04857 Hearing Date: August 6, 2026 Dept: D

MICHAEL VASQUEZ V. GENERAL

MOTORS LLC

CASE NO.: 24NWCV04857

HEARING: 08/06/2026 @ 9:30 a.m.

#11

TENTATIVE ORDER

Defendant General Motors LLC's

demurrer is OVERRULED.

Defendant General Motors LLC's

to strike is DENIED.

Defendant General Motors LLC shall

file and serve an Answer to the Second Amended Complaint within 30 days of

notice of this ruling.

Moving party to give notice.

Defendant General Motors LLC

(Defendant) demurs to the Second Amended Complaint (SAC) filed by Plaintiff Michael

Vasquez (Plaintiff). Defendant also

moves to strike the prayer for punitive damages.

Background

This is a lemon law action. On January 8, 2026, Plaintiff filed the

operative SAC against Defendant and Does 1 through 10, inclusive, asserting

five causes of action: (1) Violation of Subdivision (d) of Civil Code Section

1793.2; (2) Violation of Subdivision (b) of Civil Code Section 1793.2; (3)

Violation of Subdivision (a)(3) of Civil Code Section 1793.2; (4) Breach of the

Implied Warranty of Merchantability; and (5) Fraudulent Inducement—Concealment.

Legal Standard

As a general matter, in a

demurrer proceeding, the defects must be apparent on the face of the pleading

or via proper judicial notice. *z* (Donabedian v. Mercury Ins. Co. (2004)

116 Cal.App.4th 968, 994.) “A demurrer

tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs.

(2007) 153 Cal.App.4th 1308, 1315 (E-Fab).) As such, the court assumes the truth of the

complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with

is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th

740, 747.)

Where a demurrer is sustained,

leave to amend must be allowed where there is a reasonable possibility of

successful amendment. (Goodman v.

Kennedy (1976) 18 Cal.3d 335, 348.)

The burden is on the plaintiff to show the court that a pleading can be

amended successfully. (Id.; Lewis v.

YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable

possibility that the plaintiff can state a good cause of action, it is error to

sustain a demurrer without leave to amend.”

(Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240,

245).

Plaintiff is only required to

allege ultimate facts, not evidentiary facts.

(See Committee on Children's Television, Inc. v. General Foods Corp. (1983)

35 Cal.3d 197, 212 [“the complaint should set forth the ultimate facts

constituting the cause of action, not the evidence by which plaintiff proposes

to prove those facts”]; 1 Cal. Affirmative Def. § 10:2 (2d ed.) [allegations of

agency, course and scope of employment, etc. qualify as ultimate facts].) Plaintiff's allegations must be accepted as

true on demurrer. (See Yvanova v. New

Century Mortgage Corp. (2016) 62 Cal.4th 919, 924 [“For purposes of reviewing a demurrer, we accept the truth of material facts properly pleaded in the operative complaint”].)

Meet and Confer

Code of Civil Procedure section

430.41, subdivision (a) requires the moving party to meet and confer “in

person, by video conference, or by telephone” in an attempt to resolve a

demurrer’s deficiencies five days before the responsive pleading is due. (Code Civ. Proc. § 430.41(a)(2).)

The Court finds that Defendant

has fulfilled the meet and confer requirement.

(Quezada Decl., ¶ 2.)

Analysis

Fifth

Cause of Action

Defendant demurs to the fifth

cause of action on grounds that the claim (1) is barred by the three-year

statute of limitations for fraud; (2) fails to plead fraud with the requisite

specificity; and (3) fails to allege a transactional relationship between the

parties giving rise to a duty to disclose.

The Court will address each

argument in turn.

Statute

of Limitations

A three-year limitations period

applies to fraud claims. (Code Civ.

Proc. § 338, subd. (d).)

Plaintiff argues the Fifth Cause

of Action is timely because the delayed discovery rule postpones accrual until

the plaintiff discovers, or reasonably should have discovered, the facts

constituting the fraud. (Opp., pp. 1-6.)

Plaintiff contends the SAC now cures the

deficiency previously identified by the Court by alleging specific repair

dates, that Defendant repeatedly represented the Subject Vehicle had been

repaired or was operating as designed, and that Plaintiff had no reasonable

means of discovering Defendant's alleged concealment because Defendant

continued to conceal the Transmission Defect throughout the repair process. (Ibid.) Plaintiff further argues that whether he

exercised reasonable diligence and when he should have discovered the alleged

fraud are factual questions that cannot be resolved on demurrer. (Ibid.)

Here, Plaintiff alleges he

purchased the Subject Vehicle on June 10, 2019 and presented it to Defendant's

authorized repair facilities on approximately seven occasions between September

19, 2019 and November 20, 2023. (SAC, ¶¶

6, 14-18.) Plaintiff alleges that,

during each repair visit, Defendant represented that the Vehicle had been

repaired and was operating as designed while continuing to conceal the alleged

Transmission Defect. (Id., ¶¶

14-18.) Plaintiff further alleges that

he had no way of uncovering Defendant's alleged deception because Defendant

performed diagnostics and repairs, repeatedly represented that nothing was

wrong with the Vehicle or that it had been repaired, and that Plaintiff

diligently presented the Vehicle for repair whenever issues arose. (Id., ¶ 18.)

Defendant argues the claim

nevertheless remains time-barred because Plaintiff purchased the Subject

Vehicle on June 10, 2019 but did not file this action until December 13, 2024. (Demurrer, pp. 8-10; Reply, pp. 1-3.) Defendant contends Plaintiff's own allegations

establish that the defects manifested during the warranty period and that

Plaintiff therefore knew, or reasonably should have known, of the alleged fraud

no later than the repair visits. (Ibid.)

Defendant further argues the delayed

discovery rule is unavailable because the SAC still fails to plead facts

demonstrating that Plaintiff could not have discovered the alleged fraud

through reasonable diligence, and that neither the repair doctrine nor

equitable tolling applies. (Ibid.)

Under the delayed discovery rule,

a cause of action accrues at the time when the cause of action is complete with

all its elements. (Fox v. Ethicon

Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 806 807.) The test for when the statute of limitations

on a claim starts to run under the delayed discovery rule is “whether the

plaintiff has information of circumstances sufficient to put a reasonable

person on inquiry, or has the opportunity to obtain knowledge from sources open

to his or her investigation.” (McGee

v. Weinberg (1979) 97 Cal.App.3d 798, 803.) “In order to invoke this special defense to

the statute of limitations, the plaintiff must specifically plead facts which

show (1) the time and manner of discovery and (2) the inability to have made

earlier discovery despite reasonable diligence.” (Saliter v. Pierce Brothers Mortuaries

(1978) 81 Cal.App.3d 292, 300.) “The

burden is on the plaintiff to show diligence, and conclusory allegations will

not withstand demurrer.” (E-Fab,

supra, 153 Cal.App.4th at 1319 (internal quotations omitted).)

Here, the SAC alleges specific

repair dates spanning from September 19, 2019 through November 20, 2023 and

alleges that Defendant repeatedly represented the Vehicle had been repaired while continuing to conceal the alleged Transmission Defect. Plaintiff further alleges that he exercised reasonable diligence by presenting the Vehicle for repairs whenever issues manifested and that Defendant's repeated assurances prevented him from discovering the alleged concealment sooner. At the pleading stage, these allegations are sufficient to invoke the delayed discovery rule.

Accordingly, the Court finds

Plaintiff has sufficiently alleged delayed discovery for purposes of surviving demurrer. Defendant's demurrer on statute of limitations grounds is therefore OVERRULED.

Lack of specificity

"[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (Lovejoy

v. AT&T Corp. (2004) 119 Cal.App.4th 151, 157-158.)

“Every element of a cause of

action for fraud must be alleged in the proper manner and the facts

constituting the fraud must be alleged with sufficient specificity to allow [a]

defendant to understand fully the nature of the charge made.” (Tarmann v. State Farm Mut. Auto. Ins. Co.

(1991) 2 Cal.App.4th 153, 157.) When it

comes to a fraud action against a corporation, the plaintiff must generally

allege the names of the persons who made the allegedly fraudulent

representations, their authority to speak, to whom they spoke, what they said

or wrote, and when it was said or written.

(Ibid.)

However, the rule for pleading

fraud against a corporation is inapplicable to a claim of fraudulent

concealment. (Alfaro v. Community

Housing Improvement System & Planning Association, Inc. (2009) 171

Cal.App.4th 1356, 1384 [“How does one show ‘how’ and ‘by what means’

something didn’t happen, or ‘when’ it never happened, or ‘where’ it never

happened?”].) Instead, such details, in

the context of a fraudulent concealment claim, “are properly the subject of

discovery, not demurrer.” (Id. at

1384-85.) Moreover, the specificity

requirement is “relaxed when it is apparent from the allegations that the

defendant necessarily possesses knowledge of the facts.” (Quelimane Co. v. Steward Title Guaranty

Co. (1998) 19 Cal.4th 26, 27.)

Defendant argues the Fifth Cause

of Action still fails to plead fraud with the requisite specificity because

Plaintiff does not identify the individual who concealed the alleged defect,

the specific representations made, or facts establishing Defendant's intent to

induce Plaintiff's reliance. (Demurrer,

pp. 10-11.) Defendant further contends

the allegations remain conclusory and merely recite the elements of fraudulent

concealment. (Reply, pp. 4-5.)

Plaintiff argues the SAC now

adequately pleads fraudulent concealment by alleging Defendant knew of the

Transmission Defect before the sale through numerous internal sources,

concealed that defect before and after the sale, intended Plaintiff to rely on the

omission, and that Plaintiff would not have purchased the Subject Vehicle had

the defect been disclosed. (Opp., pp.

6-9.)

The Court finds that information

regarding the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written is not required to plead a claim for fraudulent concealment. Rather, a fraudulent concealment claim concerns a defendant's failure to disclose information it had a duty to disclose. Accordingly, it would be nonsensical to require Plaintiff to allege affirmative representations where the gravamen of the claim is that the pertinent information was never disclosed.

Here, Plaintiff alleges Defendant knew the Subject Vehicle's 8-speed Transmission was defective before Plaintiff purchased the Vehicle, acquired that knowledge through internal testing, warranty data, consumer complaints, dealer reports, and other internal sources, failed to disclose the alleged defect despite possessing superior knowledge, and that Plaintiff would not have purchased the Vehicle had the defect been disclosed. (SAC, ¶¶ 69-80.) Plaintiff further alleges Defendant intentionally concealed the defect and that its officers, directors, or managing agents authorized or ratified the marketing materials and product disclosures that omitted the alleged defect. (Id., ¶¶ 74, 77-80.)

The Court finds these allegations

adequately apprise Defendant of the nature of Plaintiff's fraudulent

concealment claim. Defendant's demurrer

on this ground is therefore OVERRULED.

Duty

to Disclose

There are four circumstances in

which nondisclosure or concealment may constitute actionable fraud: (1) when

the defendant is in a fiduciary relationship with the plaintiff; (2) when the

defendant had exclusive knowledge of material facts not known to the plaintiff;

(3) when the defendant actively conceals a material fact from the plaintiff; or

(4) when the defendant makes partial representations but also suppresses some

material fact." (LiMandri v. Judkins, (1997)

52 Cal.App.4th 326, 336.) A duty

to disclose may also arise when a defendant possesses or exerts control over

material facts not readily available to the plaintiff. (Jones v. ConocoPhillips Co., (2011) 198

Cal.App.4th 1198, 1199.)

A vendor has a duty to disclose

material facts not only to immediate purchasers, but also to subsequent

purchasers when the vendor has reason to expect the product will be resold. (OCM Principal Opportunities Fund v. CIBC

World Markets Corp. (2007) 157 Cal.App.4th 835, 859-860.) The duty is limited to circumstances in which

the seller has reason to expect the alleged fraud will be passed on to

subsequent purchasers. (*Geernaert v.*

Mitchell (1995) 31 Cal.App.4th 601, 607-608.) Mere foreseeability is insufficient. (*Id.* [citing Restatement (Second) of Torts § 305 cmt. d (1977)]). In

determining whether the seller had “reason to expect” that the fraud will be

passed onto subsequent purchasers, courts generally consider two factors: “(1)

the extent of the seller's knowledge of resale to a particular person or class

of persons and (2) the likelihood that the particular misrepresentation (or

concealment) would be passed on to them.” (*Id.* at 608.)

Here, Plaintiff alleges he

purchased the Subject Vehicle from Defendant's authorized dealership and

entered into a warranty agreement with Defendant. (SAC, ¶¶ 6-12.) Plaintiff further alleges Defendant knew of

the alleged Transmission Defect before the sale, acquired that knowledge

through internal testing, warranty data, dealer reports, consumer complaints,

and other internal sources unavailable to consumers, and intentionally

concealed the defect from purchasers. (*Id.*,

¶¶ 70-80.) These allegations are

sufficient to establish Defendant had reason to expect the alleged concealment

would be passed on to Plaintiff as a subsequent purchaser and that Defendant

possessed exclusive knowledge of material facts not reasonably available to

Plaintiff.

Accordingly, Plaintiff has

sufficiently alleged Defendant owed a duty to disclose. Defendant's demurrer to

the Fifth Cause of Action is OVERRULED.

Motion to Strike

Code of Civil Procedure, section

436 permits trial courts to strike out any irrelevant, false, or improper

matter inserted in a pleading:

"The court may, upon a motion

made pursuant to Section 435, or at any time in its discretion, and upon terms

it deems proper:

(a) Strike out any irrelevant,

false, or improper matter inserted in any pleading.

(b) Strike out all or any part of

any pleading not drawn or filed in conformity with the laws of this state, a

court rule, or an order of the court."

(Code Civ. Proc., § 436.)

As discussed above, Plaintiff has

sufficiently stated a cause of action for fraudulent inducement by concealment.

Accordingly, Plaintiff's request for

punitive damages is properly predicated on the fraud claim. (See *Bowser v. Ford Motor Co.* (2022) 78

Cal.App.5th 587, 627 [affirming compensatory damages and punitive damages on a

fraud claim arising from a Song-Beverly action]; *Covert v. FCA USA, LLC*

(2022) 73 Cal.App.5th 821, 828, fn. 3 [recognizing that punitive damages are

recoverable, if at all, on a fraudulent concealment claim rather than under the

Song-Beverly Act].)

Accordingly, Defendant's motion

to strike is DENIED.

Conclusion

Based on the foregoing, Defendant

General Motors LLC's demurrer is OVERRULED.

Defendant General Motors LLC's

motion to strike is DENIED.

Defendant General Motors LLC shall

file and serve an Answer to the Second Amended Complaint within 30 days

of notice of this ruling.